

GLOBAL TRENDS

CHAPTER ONE

UNDERSTANDING INTERNATIONAL RELATIONS

CONCEPTUALIZING NATIONALISM, NATIONS AND STATES

- Nationalism - is the doctrine that asserts the nation as the basic political unit in organizing society.
- Holds that each nation should govern itself, free from outside interference (self-determination),
- The nation is the only rightful source of political power (popular sovereignty).
- It has caused the outbreak of revolutions and wars across the globe.
- A factor for the collapse of age old empires, marker for new borders,
- Is a powerful component for the emergence of new states
- The revolutions that took place in Britain's North American colonies in 1776, and in France in 1789, provided models for other nationalists to follow.

CON'T...

- *In the revolution of 1789, the old regime was overthrown and with it the entire social order.*
- *At the end of WWI in 1918 that self-determination was acknowledged as a right.*
- *Nations-Are historical entities that evolve organically out of more similar ethnic communities and they reveal themselves in myths, legends, and songs.*
- *Are group of people who have a strong sense of unity and common consciousness.*
- *The state-is a polity that is typically established as a centralized organization.*
- *An organized Political community by one government .*

UNDERSTANDING INTERNATIONAL RELATIONS

- **IR**-first used by **Jeremy Bentham in 1798**
- *Originally*, the study of international relations was *seen largely as a branch of the study of law, philosophy or history.*
- It is impossible to isolate our experiences and transactions from an international dimension
- The first university chair of international relations was founded at the **University of Wales in 1919 after the end of WWI.**
- *Today* IR is the study of all forms of interactions that exist b/n members of separate entities or nations with in the international system.

ACTORS IN IR

A. *State Actors*

- *IR- traditionally focused on interactions **b/n states**.*
- *States have their own capitals, armies, foreign ministries, flags and national anthems, call themselves sovereign, they act in r/n to other states, declaring war, concluding a peace, negotiating a treaty, and many other things.*
- *International politics come to be defined in terms of **interactions b/n states in an international system of states**.*

NON-STATE ACTORS

- Are *different organizations* that are involved in the international system other than state. Such as;

❖ ***IGOs***

- Institutions that are set up by states for the achievement of certain goals which member states believe cannot be met by individual efforts. Such as *UN, AU, OPEC, ECOWAS, and SADC*.

❖ ***Transnational Organizations***

- possess neither *sovereignty nor territory*.
- They are private, but nonetheless are able to affect the course of international events.

CONT...

- The most prominent among these actors are: *INGOs; MNCs; and individuals*
- *INGO* membership consist of *private individuals* or *group from various countries who share common interests and concerns*.
- They operate across borders.
- They include religious organizations and social welfare or humanitarian organizations.
- Although they are *non-political*, their activities have on occasions *affected the political behavior of states* and other actors in the system.
- e.g. the activities of *Amnesty International* and *other human rights bodies* in exposing abuse of human rights by governments in many countries.

CONT...

- *MNCs* have a significant impact on the international system.
- These are organizations that *operate internationally*, but whose *memberships unlike IGOs are private*.
- They are firms with foreign subsidiaries, which extend the production and marketing of their products beyond the boundaries of one single country.
- ***Individuals*** -A third type of transnational actor is *individuals*. For instance, the statesmen (President, Prime Minister or foreign Minister), rebel and terrorist leaders, international businessmen and religious heads is imperative State men.

LEVELS OF ANALYSIS IN INTERNATIONAL RELATIONS

The individual level

- *Behaviors, motivations, beliefs and orientation of the individual in affecting a particular international phenomenon.*
- *This can be seen in the psychology and emotions behind people's actions and decisions, their fears and their visions as well as their access to information and capacity to make a difference.*
- *They are also an important factor in the analysis of foreign policy, whenever particular mindsets and perceptions of political leaders and key actors might influence their decisions and behavior.*
- *For ex, a P M, encountering the leader of another state to negotiate an important financial agreement.*

THE GROUP LEVEL

- Break *the analysis down into certain kinds of groups*
- Focusing on foreign policy would look, for example,
 - *The role of lobbying groups and the way they influence national decision-making on an issue.*
- More *interested in the actions of groups of individuals*, such as
 - ✓ *voters* of a country and the way they express their views in the general election,
 - ✓ *political parties* picking up on the issue in their campaigns or social movements forming to counter the effects of the crisis on society.
 - ✓ could be interested in *activist / pressure groups*.

THE STATE LEVEL

- ❖ Is referred to as the *relative 'state-centrism'* of the discipline.
- ❖ The *state acts as the arena* in which state officials, politicians and decision-makers operate.
- ❖ The *state is seen as the framework that encapsulates* society and as the main point of reference for the individual.
- ❖ *Made about the state also being the main location of power* within the international sphere.
- ❖ The *state is where power is primarily concentrated* and located.

CONT...

- ❖ *A state level analysis might be interested to look at:*
 - *It can **consider states as actors** in their own right as if they were clearly defined entities that have certain preferences.*
 - *It may **look at how states interact with each other** to deal with the crisis, their foreign policy.*
 - *Also **require careful consideration of what kinds of states we are looking at.***
 - *It would likely also **look at the foreign policy of states**, meaning their approach to and practice of interacting with other states.*

THE SYSTEM LEVEL

- It *conceives the global system as the structure*
- Context within which states *cooperate, compete and confront* each other over issues of national interest.
- It deals with *distribution of power amongst states*.
 - whether there is *unipolarity, bipolarity or multipolarity*.
- *global circumstances are seen to condition the ability to pursue their interests in cooperative or competitive ways.*
- *consider global linkages that go beyond single interactions b/n states.*
- *look at the balance of power b/n states and how that determines what happens in global politics.*

THE STRUCTURE OF INTERNATIONAL SYSTEM

- There are *three main types of systems*:
 - *Uni-polar international system*- there is one state with the greatest political, economic, cultural and military power and hence the ability to totally control other states. Eg. *USA immediately after collapse of USSR*.
 - *Bi polar system*-there is the power shared b/n two big entities.
 - The problem with bipolar system is that it is vulnerable for *zero-sum game politics* because when one superpower gains the other would inevitably lose.
 - Eg, The Cold war
 - *Multi -polar*-power shared b/n more than two entities
 - is the most common throughout history

CONT...

- In both *bipolar and multipolar systems* there is no one single state with a preponderant power and control other states.
- ***As a result,*** the states in such systems are forced to balance each other's power.
- In *bipolar system*, there are *two dominant states (super powers)*, and
- *The less powerful states* join either sides through *alliance* and *counter alliance formations*.

Power

- *Can be defined in terms of both relations and material aspects.*
 - *Dahl's definition understands power as 'A's ability to get 'B' to do something it would not otherwise do.*
- *Power is the currency of international politics.*
- *As money is for economics, power is for international relations.*
- *In the international system, it determines the relative influence of actors and it shapes the structure of the international system.*
- *International politics, like all other politics, is a struggle for power.*
- *Power is the blood line of international relations(Hans Morgenthau).*

Anarchy

- It is *absence of authority* (government) be it *in national or international / global level systems*.
- Within a country 'anarchy' refers to a *breakdown of law and order*.
- But in relations between states it refers to a *system where power is decentralized and there are no shared institutions with the right to enforce common rules*.
- An *anarchical world is a world where everyone looks after themselves and no one looks after the system as a whole*.

Sovereignty

- *It can be defined as an expression of:*
 - *A state's ultimate authority within its territorial entity (**internal sovereignty**).*
 - *The state's involvement in the international community (**external sovereignty**).*
- *In short, it denotes double claim of states from the international system, i.e., **autonomy in foreign policy and independence/freedom in its domestic affairs.***

Theories of International Relations

- **Idealism / Liberalism**
- Immanuel Kant developed the idea in the late eighteenth century
- Liberalism in IR was referred to as a '**utopian**' theory
- View **human beings as innately good**
- Believe **peace and harmony** b/n nations is **not only achievable, but desirable.**
- Shared liberal **values** should have **no reason for going to war against one another**
- For Kant, more liberal states there were in the world, the more peaceful it would become,
- Because liberal states are **ruled by their citizens and citizens are rarely disposed to desire war.**
- liberals have faith in the idea that the permanently **stopping of war is an attainable goal.**

CON'T...

- Liberals also argue that *international law offers a mechanism by which cooperation among states is made possible.*
- Concern on that *conditions which had led to the outbreak of the WWI should not be allowed to occur in the future.*
- Elimination of war lay with a preference for *democracy over aristocracy, free trade over autarky, and collective security over the balance of power system.*

Realism

- View that the *international system* is *anarchic*
- The *international system of states* lacks *inter-national law*,
- *It is* non-binding and ultimately ineffectual in the regulation of relations between states.
- *Conflict is hence an inevitable and continual* feature of inter-national relations.
- There are objective laws which have universal applicability, international politics, like all politics, is *a struggle for power*.

CONT'

- The basic difference between liberals theories are *optimistic view of IR*, believing that world order can be improved, *with peace and progress gradually replacing war*.
- They may not agree on the details, but this optimistic view generally unites them.
- Conversely, **realists** tend to dismiss optimism as a form of misplaced idealism and instead they arrive at a more **pessimistic view**.
- Realists viewed **IR as a system where war and conflict is common and periods of peace are merely times when states are preparing for future conflict**.

CON'T

- *Both liberalism and realism consider the state to be the dominant actor in IR, although liberalism does add a role for non-state actors.*
- *Liberals argue that organizations are valuable in assisting states in formulating decisions and helping to formalize cooperation that leads to peaceful outcomes.*
- *Realists on the other hand believe states take part in international organizations only when it is in their self-interest to do so.*

Structuralism / Marxism

- *Argues that a capitalist society is divided into two contradictory classes*
 - *The business class (the bourgeoisie) and*
 - *The working class (the proletariat).*
- *The proletariats are at the mercy of the bourgeoisie who control their wages and therefore their standard of living.*
- *Emerged as a critique of both realism and pluralism concentrated on the inequalities that exist within the international system,*
- *There is inequalities of wealth between the rich 'North' or the 'First World' and the poor 'South' or the 'ThirdWorld'*
- *Focused on dependency, exploitation and the international division of labor which relegated the vast majority of the global population to the extremes of poverty, often with the complicities of elite groups within these societies.*

Constructivism

- Viewed as a middle ground b/n *mainstream theories and the critical theories*
- Highlight the *importance of values and shared interests b/n individuals who interact on the global stage.*
- Alexander Wendt, a prominent constructivist, described the r/nship b/n agents (*individuals*) and structures (*such as the state*) as one in which structures not only constrain agents but also construct their identities and interests.
- *Anarchy is what states make of it.*
- The essence of *IR exists in the interactions between people.*
- After all, states do not interact; it is agents of those states, such as politicians and diplomats, who interact.
- As those interacting on the world stage have accepted international anarchy as the defining principle, it has become part of our reality.
- To understand constructivism is to understand that ideas, or 'norms' as they are often called, have power.
- IR is, then, a never-ending journey of change chronicling the accumulation of the accepted norms of the past and the emerging norms of the future.

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Critical Theories

- Established in response to mainstream approaches in the field, mainly *liberalism* and *realism*.
- They identify positions that have typically been *ignored or overlooked within IR*.
- They also *provide a voice to individuals who have frequently been marginalized, particularly women and those from the Global South*
- *Critical theorists, internationalization of the state* as the standard operating principle of IRs has led ordinary people around the globe:
 - ✓ *becoming divided and*
 - ✓ *alienated, instead of recognizing what they all have in common as a global proletariat.*
- It acknowledges that politics is *not limited to one area or region* and that it is vital to include the *voices of individuals from other parts of the world*.

GLOBAL TRENDS

CHAPTER TWO ***UNDERSTANDING FOREIGN POLICY AND DIPLOMACY***

Defining National Interest

- *National interest* is the reason of state to justify its actions and policy towards other states at international level.
- National interest refers to set of values, orientation, goals and objectives a given country would like to achieve in its international relations.
- It has been the main *driving force* that determines the contents of foreign policy.
- An image of the future state of affairs and future set of conditions that governments through individual policy makers aspire to bring about by wielding influence abroad and by changing or sustaining the behaviors of other states.

Con't...

- *The ambition of governments, viz., what governments aspire to full fill in its future interaction with others.*
- *The means that states employ to realize their future ambitions.*
- *In the normative sense, it is a set of purposes which a nation...should seek to realize in the conduct of its foreign relations”.*
- *In the descriptive sense, it is regarded, “as those purposes which the nation [states] through its leadership appears to pursue persistently over time.*

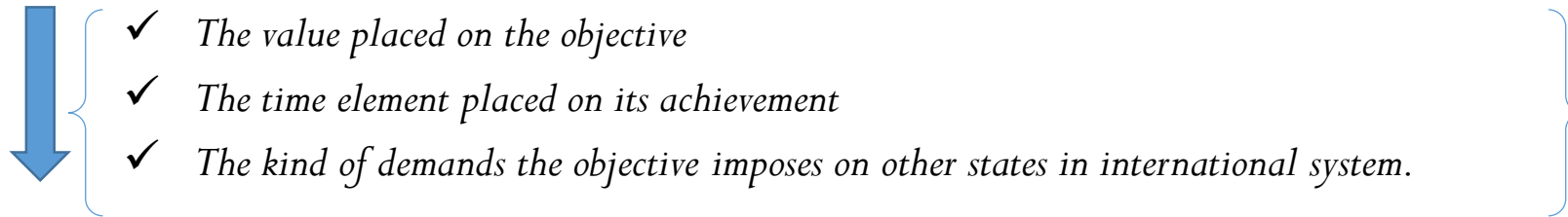
Understanding Foreign Policy and Foreign Policy Behaviors

Foreign Policy-

- *The sets of objectives and instruments that a state adopts to guide its relation with the outside world.*
- *Is something that a state would like to achieve in its external relations with others.*
- *They are in one way or another related to national interest.*
- *It involves the general purposes and specific strategies a state employs to achieve or promote its national interest.*
- *It also encompasses specific strategies and instruments, economic and diplomatic tools that states employ to achieve their objectives.*
- *These objectives, visions and goals state aspire to achieve is commonly referred as **national interest**.*
- *Morgenthau suggests that the **minimum goal a state would like to achieve is survival**.*
- *Every state should protect their **physical(maintenance of the territorial integrity) , political(preservation of existing politico-economic systems), and cultural identities (ethnic, religious, and linguistic and historical norms of the peoples residing in the state) against any encroachment by other states.***

Foreign Policy Objectives

- Based on the combination of the three criteria:



- *The foreign policy objectives can be classified as:*

- **Core values and interests-** *to which states commit their very existence and that must be preserved or extended at all time;*
- **Middle range goals-** *which normally impose demands on several others states (commitments to their achievement are serious and time limit is also attached to them)*
- **Universal long range goals-***which seldom have definite time limits.*

- *In practice leaders rarely place the highest value on long range goals and it's very much dependent on the capability and ideology of the state.*

Core Interests and Values (Short Range Objectives)

- *Goals for which most people are willing to make ultimate sacrifices.*
- *Stated in the form of basic principles of foreign policy and become article of faith that society accepts without any questioning it.*
- *They are sacrosanct by entire peoples residing in the state.*
- *They are most frequently related to the self-preservation of political and economic systems, the people and its culture, and the territorial integrity of a state.*
- *These are short-range b/c others goals cannot be realized if the existence of the state and its political units are not ensured.*
- ***In conclusion**, core interests and values, is to ensure the sovereignty and independence of the home territory and to perpetuate a particular political, social and economic systems.*

Middle Range Objectives

- *They drastically varies across states due to the difference in the level of economic, technological progress and the military capability of states.*
- *They have the highest impact on the domestic economic and welfare needs and expectation of states.*
- *This would include the attempts of government to meet economic-betterment demands and needs through international action.*
- *Social welfare and economic development, cannot be achieved through self-help, as most states have only limited resources, administrative services, and technical skills.*
 - *Interdependence means that to satisfy domestic needs and aspirations, states would have to interact with others.*
 - *Trade, foreign aid, access to communication facilities, sources of supply, and foreign market are for most states necessary for increasing social welfare.*

Long- Range Objectives

- *Are those plans, dreams, and visions concerning the ultimate political or ideological organization of the international system.*
- *The difference between middle and long range are **not only to time elements, but also***
significant difference in scope.
 - *In pressing for middle range goals , states make particular demands against particular interest;*
 - *In pursuing long range goals, states normally make universal demands, for their purpose is no less than to reconstruct an entire international system according to a universally applicable plan or vision.*
- *Here it must be noted that such long range visions and dreams may have international repercussions as far as they are complemented by the capabilities and powers.*
- *This, however, **states that are less capable, often those middle powers and less developing countries, does not formulate long range objectives.***

Foreign policy behavior-the actions states take towards each other.

- *These actions usually are not as ends in themselves.*
- *The nature of foreign policy is such that one can expect to find double standards and inconsistencies in the records of all countries.*
- *Arnold Wolfers, suggested that all foreign policy behavior ultimately boils down to three possible patterns:*
 - *Self-preservation (maintaining the status quo)*
 - *Self-extension (revising the status quo in one's own favor)*
 - *Self-abnegation (revising the status quo in some else's favor).*

Foreign Policy Dimensions

- *These dimensions / patterns include **alignment, scope and modus operandi.***

I. Alignment

- *Formal agreement on alliances or neutrality,*
- *A country's alignment behavior can vary from time to time during its history in response to changing circumstances and policy decisions.*
- *Yet one can identify the alignment tendencies such as **alliance, neutrality and non-alignment.***

Con't...

Alliances- are formal agreements to provide mutual military assistance

- Allied countries can pool their military resources, acquire access to foreign bases and stake out territories that enemies are on notice will be denied them by force if necessary.
- Yet an alliance state also risks of interference by allies in its domestic affairs, the possibility being dragged.

Neutrality- is a stance of formal non-partisanship in world affairs.

- neutrals may avoid some of the problems associated with alliances, particularly the generating of potential enemies, counter alliances and risk of interference.
- However, neutrals must also be aware that if war clouds gather, there may be no one committed to providing a protective military umbrella. Eg. [Switzerland](#) was refused membership to United Nations till 2002.

Non-alignment- has been the foreign policy pattern of most developing state during cold war.

- Most developing countries had a movement of NAM in which they called for a new foreign policy path/choice/ to be followed disregarding the both the West and East bloc politics and alliances. Although that was practically impossible, NAM had noble agenda that called for the South-South cooperation.

II. Scope

- *A country's scope of contact can affect the outcome of disputes and crises.*
- *With regards to the scope of activities, one can identify at least three patterns of foreign policy behaviors.*
 - ***Act in Global terms-** Major Powers that have defined their interest in global terms, interacting regularly with countries in nearly every region of the world.*
- *A country such as U.S.A has often defined its national interest in global terms, and it has more or less the wherewithal and the capability to influence world events.*
- *Despite it has been declining in economic terms, the country's military presence and diplomatic communication in every part of the world make her global actor.*

Con't...

➤ *As **Regional terms**-interacting primarily with neighboring states in the same geographical area except for contacts, frequently concerning economic issues such as trade; with major actors like United States and China outside their region.*

- *For example, **South Africa** is a regional actor in Africa in general and in Southern Africa in Particular. It is the most important actor in regional organizations such as SADDIC and AU.*
- ***India** in South Asia, **China** in entire Asia and also in other parts of world.*

➤ ***Policy of Isolationism**-Some moments in history, such as key weakness or geographic remoteness, may cause the scope of a country's foreign policy to become so narrow that isolationism results.*

- *This was the case with Burma in 1960 and 70s. Few countries have ever been totally cut off from the outside world, and in an age of interdependence, isolationism becomes an increasingly less viable foreign policy orientation.*

III. Mode of Operation/ “Modus Opernadi”

- *Some countries often rely on multilateral institutions to address different issues. Still others very much rely on unilateral means.*
- *The **multilateralist** state is, seek solutions to problems **through diplomatic forums**, such as the UN, rather than bilateral, approaches.*
- *Most developing countries used the multilateral approaches.*
- *The multilateral forum would enhance collective barraging power.*
- *In addition, establishing bilateral relations are often found to be costly.*
- *The best strategy to address issues with the spirit of cooperation and peace.*
- *Germany, Scandinavian countries fall under this category.*
- *countries may opt to rely on **unilateral** means of settling different issues*
- *They play the carrot and stick diplomacy to affect the outcomes of events. Intervention, threat of use of force*
- *The more unilateral a state is the more likely to initiate actions in international relations or to resist initiatives taken by others*

BE GLOBAL!!!!!!!

GLOBAL TRENDS

CHAPTER THREE ***INTERNATIONAL POLITICAL ECONOMY (IPE).***

Meaning and Nature of International Political Economy (IPE)

- *There is no universal agreement on how IPE should be defined. The definition which tells us that International Political Economy “is the study of the tension between **the market**, where individuals engage in self-interested activities, and **the state**, where those same individuals undertake collective action”.*
- *It suggests that there are only two significant subjects of International Political Economy:*
 - ***Markets**, which are composed of self-interested individuals (and the firms that they operate),*
 - ***States**, which are the primary political institutions of the modern international system.*

CON'T...

- *International applies only to **relations between and among sovereign states**.*
- *For example, that **large corporations** engage in all sorts of economic transactions and activities that cut across borders: from buying, selling, and trading products and services, to building and investing in global chains of production.*
- *These types of firms are named as **Transnational Corporations (TNCs)**.*
- *Due to it, IPE's definition is getting ever widened and deepened in content and even the name of the field is changing from IPE to GPE (Global Political Economy).*

CON'T...

- *International Political economy (IPE) is a field of inquiry that studies the ever-changing relationships between governments, businesses, and social forces across history and in different geographical areas.*
- *It consists of two central dimensions namely: the political and economic dimension.*
 - *A **political dimension** accounts for the use of power by a variety of actors, including individuals, domestic groups, states (acting as single units), International organizations, nongovernmental organizations (NGOs), and Transnational corporations (TNCs).*
 - *The **economic dimension**, on the other hand, deals with how scarce resources are distributed among individuals, groups, and nation-states. Today, a market is not just a place where people go to buy or exchange something face to face with the product's maker.*

Theoretical perspectives of International Political Economy

- *There are three major theoretical perspectives regarding the nature and functioning of the International Political economy: **liberalism, Marxism and nationalism (mercantilism)**.*
- *Each of these perspectives has been around for a long time.*
- ***Mercantilism is the oldest of the three**, dating back as early as the 16th century. Many scholars point to Friedrich List(1789–1846) as the intellectual father of the mercantilist thought and it is a thought in response to classical economics and, more specifically, to Adam Smith's (1723–1790) liberal perspective.*
- *Marxism, by contrast, is **the youngest** of the three and is advanced by Karl Marx who also emerged as a critique of classical economics.*

Mercantilism / Nationalism:

- *Is a theoretical and ideological perspective which **defends a strong and pervasive role of the state in the economy** – both in domestic and international trade, investment and finance.*
- *Mercantilism emphasizes the importance of balance-of-payment, surpluses in trade with other countries and to this end it often **promotes an extreme policy of autarky** to promote national economic self-sufficiency.*
- *As it developed in the 21st century, mercantilism (or neo-mercantilism) defended even a much more sophisticated and interventionist role of the state in the economy.*
- *For example, the role of identifying and developing strategic and targeted industries (i.e. industries considered vital to long-term economic growth) through a variety of means, including **tax policy, subsidization, banking regulation, labor control, and interest-rate management.***
- *It is found in the recent experience of the **Japanese, South Korean, Taiwanese and Chinese** national political economies.*

Liberalism

- *Is a mainstream perspective in International political economy and it defends the idea of free market system.*
- *Accordingly, removing **impediments (barriers)** to the free flow of goods and services among countries is the foundational value and principle of liberalism.*
- *The **consensus** among advocates of free trade is that it **reduces prices, raises the standard of living for more people, makes a wider variety of products available, and contributes to improvements in the quality of goods and services.***
- *Believe that by removing barriers to the free movement of goods and services among countries, as well as within them, countries would be encouraged to specialize in producing certain goods, thereby contributing to the optimum utilization of resources such as land, labor, capital, and entrepreneurial ability at worldwide.*
- *If countries focused on what they do best and freely trade their goods with each other, all of them would benefit.*

*The concept that captures this idea is also known as **comparative advantage**.*

Marxism

- *Following the collapse of the Soviet Union in the 1990's and the apparent embrace of the **free market** economy by a significant number of developing countries, there was a widely held belief that such phenomenon marks a clear failure and hence death of Marxism.*
- *In fact, according to advocates of Marxism just the opposite is the case.*
- ***Global and national income inequality**, for example, remains extreme: the richest 20 percent of the world's population controlled 83 percent of the world's income, while the poorest 20 percent controlled just 1.0 percent;*
- *Exploitation of labor shows no sign of lessening; the problem of child labor and even child slave labor has become endemic and so on and so forth.*
- *They all reflect the **inherent instability** and **volatility** of a global capitalist system for profit making.*
- *They argued that some actors are always **making huge sums of money** from the speculative bubbles that finance capitalism produces.*

Contemporary Theories of International Political Economy

- *Hegemonic Stability Theory (HST): is a hybrid theory containing elements of mercantilism, liberalism, and even Marxism. Its closest association, however, is with mercantilism.*
- *The connection with mercantilism may not be immediately apparent, but it is not difficult to discern.*
- *The basic argument of **HST** is simple: the root cause of the economic troubles that bedeviled Europe and much of the world in the Great Depression of the 1920s and 1930s was the absence of a benevolent hegemon—that is, a dominant state willing and able to take responsibility for the smooth operation of the International (economic) system as a whole.*
- *In this regard, what then happened during the Great depression period was the old hegemon, **Great Britain**, had lost the capacity to stabilize the international system, while the new (latent) hegemon, the **United States**, did not yet understand the need to take on that role.*

Structuralism

- *Is a variant of the Marxist perspective and starts analysis from a practical diagnosis of the specific structural problems of the **international liberal capitalist economic system** whose main feature is centre-periphery (dependency) relationship between the **Global-North** and the **Global-South**.*
- *This permanently resulted in an “**unequal (trade and investment) exchange**.”*
- *This perspective is also known as the ‘**Prebisch-Singer thesis**’ and it advocates for a new pattern of development based on industrialization via **import substitution** based on **protectionist policies**.*
- *During the 1950s, this Latin American model spread to other countries in Asia and Africa and then the domestic promotion of manufacturing over agricultural and other types of primary production became a central objective in many development plans.*

Developmental State Approach

- ❖ *Realizing the failure of neo-liberal development paradigm (in the 1980's) in solving economic problems in developing countries, various writers suggested the **developmental state** development paradigm as an alternative development paradigm.*
- ❖ *The concept of the developmental state is a variant of mercantilism and it advocates for the robust role of the state in the process of structural transformation.*
- ❖ *The term developmental state thus refers to a state that intervenes and guides the direction and pace of economic development.*

INTERNATIONAL TRADE ORGANIZATION

- *The World Trade Organization (WTO) is an international organization which sets the rules for global trade.*
- *This organization was set up in 1995 as the successor to the General Agreement on Trade and Tariffs (GATT) created after the Second WWII. It has about 150 members.*
- *All decisions are taken unanimously but the major economic powers such as the US, EU and Japan have managed to use the WTO to frame rules of trade to advance their own interests.*
- *The developing countries often complain of non-transparent procedures and being pushed around by big powers.*

CONT'D...

- The exchange of a good or service for another illustrates a particular type of trade, referred to as **barter trade**.
- In the contemporary period, however, the great preponderance of trade involves the **exchange of money** for goods and services.
- This type of trade can take place entirely within a domestic economy or internationally.
- But there are a number of critical distinctions between **domestic and cross-border trade**.
- While in cross-border trade the exchange of goods and services is mediated by **at least two different national governments**, each of which has its own set of interests and concerns, and each of which exercises sovereign authority and control over its national borders.
- This brings the question: **“how is international/global trade governed?”**
One most common answer is the idea that **Global/Regional Free Trade Agreements govern it**-i.e institutions like World Trade Organization (WTO) and North American Free Trade Agreement (NAFTA) or similar other organizations.

WORLD BANK

- ❖ *It was created immediately after the WWII in 1945. Its activities are focused on the developing countries.*
- ❖ *It works for **human development** (education, health), **agriculture and rural development** (irrigation, rural services), **environmental protection** (pollution reduction, establishing and enforcing regulations), **infrastructure** (roads, urban regeneration, and electricity) and **governance** (anti-corruption, development of legal institutions).*
- ❖ *It provides **loans and grants** to the member-countries. In this way, it exercises enormous influence on the economic policies of developing countries.*
- ❖ *It is often criticized for setting the economic agenda of the poorer nations, attaching stringent conditions/pre-conditions to its loans and forcing free market reforms.*

IMF

- *The International Monetary Fund (IMF) is an international organization that oversees those financial institutions and regulations that act at the international level.*
- *The IMF has 184 member countries, but they do not enjoy an equal say.*
- *The top ten countries have 55 per cent of the votes.*
- *They are the G-8 members (the US, Japan, Germany, France, the UK, Italy, Canada and Russia), Saudi Arabia and China.*
- *The US alone has 17.4 per cent voting rights.*

International Investment and the WB

- *International / Transnational / global production (in short global FDI) is a type of production in which different parts of the overall production process for a particular product take place across different national territories and it is one major element of the international or global political economy.*
- *To appreciate how many countries participate today in the production of a single product, consider the following case for example.*
- *One would observe that in a production of one particular **model of Swedish automobile, at least 38 major and minor** components were manufactured in factories spread throughout the world.*
- *This is due to the **drastic decrease in transport and communications costs** which made transnational production much more economically efficient.*

CONT'D...

- This is also reflected in the rise of **efficiency-seeking FDI**s world wide.
- Besides, the developments of new and better technologies and improvements in global finance have also made it easier and more profitable to build integrated production systems across borders.
- While investment and the development process in general in the developed countries is predominantly governed by the interactions of multinational companies and investment.
- **Development process in the developing countries**, on the other hand, are directly or indirectly governed by the **WB** (some times more powerfully than the governments of sovereign states).
- This depicts that the WB influences the domestic affairs of developing countries **via loans and aids**.

International Finance and the IMF

- The global financial system is divided into two separate, but tightly inter-related systems: **a monetary system** and **a credit system**.
- The international **monetary system** can be defined as *the relationship between and among national currencies*.
- More concretely, it revolves around the question of *how the exchange rate among different national currencies is determined*.
- The **credit system**, on the other hand, refers to the framework of rules, agreements, institutions, and practices that facilitate the transnational flow of financial capital for the purposes of investment and trade financing.
- From these two very general definitions, one can understand that the monetary and credit systems are inextricably related to one another.

Exchange Rates and the Exchange-Rate System

- *An exchange rate is the price of one national currency in terms of another. For example, according to July 2013 rate, one U.S. dollar (\$1) was worth 98.1 Japanese yen (¥), while one British pound (£) was worth 1.54 U.S. dollars. Yet, in August 1998, one U.S. dollar was worth 145.8 yen.*
- *Compared to the rate in July 2013, the difference is then almost 50 percent. This implies that in August 1998, the yen was substantially “weaker” (the quotation marks are used because a weak currency is not necessarily a disadvantage).*

CON'T...

- *There are two main exchange rate systems in the world namely: fixed exchange rate and floating exchange rate.*
- *In a **pure floating-rate system**, the value of a currency is determined solely by money supply and money demand.*
- *In other words, this system exists only when there is absolutely no intervention by governments or other actors capable of influencing exchange-rate values through non-market means.*
- *A **pure fixed-rate system**, on the other hand, is one in which the value of a particular currency is fixed against the value of another single currency or against a basket of currencies.*
- *The question thus remains: How is the global financial system governed? The creation of the International Monetary Fund (IMF) provided the answer for this question.*

Chapter Four: Globalization and Regionalism

- ✓ Globalization is a phenomena, or a process characterized by increasing interconnectedness or interdependence.
- ✓ It is a supra regional process bringing the world into one global village.
- ✓ The economy, politics, and technology have been the driving forces of globalization.
- ✓ Regionalism is conceived as a way of dealing with politico-economic, social, military and security issues affecting states in common.

4.1. Defining Globalization

- Globalization can be characterized by:
 - the stretching of social and political activities across state (political) frontiers
 - the intensification or the growing magnitude of interconnectedness in almost every aspect of social existence
 - the evolution of worldwide systems of transport and communication increases the rapidity of or velocity with which ideas, news, goods, information, capital and technology move around the world

4.2. The Globalization Debates

Three perspectives:

4.2.1. The Hyper-globalists

- ✓ nation states become obsolete to regulate their economy and boundary.
- ✓ privileges the economic over the political, the market over the state,
- ✓ prefigures the decline of states.
- ✓ argue that economic globalization is bringing about a de-nationalization/ de-territorialization of economies through the establishment of transitional networks of production, trade and finance.
- ✓ national governments are relegated to little more than transmission belts for global capital or ultimately powerless institutions marginalized by the growing significance of local, regional and global mechanisms of governance.

- ✓ claim that economic globalization is generating a new pattern of losers as well as winners in the international economy
- ✓ globalization is imparting new liberal ideas and implant culture of modernization replacing the traditional culture having an impetus towards creating a new global order marked by uniform cultural values or way of life.

4.2.2. The Skeptics

- ✓ rejected the view of super- globalist as a myth, flawed and politically naïve
- ✓ States are central actors and agents of globalization playing central role in shaping and regulating the economic activities
- ✓ Skeptics also undermine the view that the world is interconnected and moving into a village
- ✓ globalization is not more than regionalization that is being manifested in the emergence of financial and trading blocs in Western countries, North America, in Asia and to some extent in Africa.

4.2.3. The Transformationalist

- globalization is a critical driving force behind the rapid social, political and economic changes which are reshaping societies and international politics.
- It reconstituting or reengineering the power, function and the authority of the state,
- the state can't command sole control over trans-boundary issues, actors, resource movements.
- national economic space no more coincides with state boundary.

- reject both the hyper globalist (end of the sovereign state)as well as the Sceptics (nothing much has changed).

4.3. Globalization and Its Impacts on Africa

- globalization is the compression of space and time, so that people from distant areas are able and in fact obliged to interact with one another intensively and in a wide range of areas.
- “One World” and “Villagization” are sometimes used as synonyms for globalization.
- Globalization has increasingly taken the appearance of the transformation of the international system from a multi-polar or bipolar system to an imperial system under American hegemony.

- globalization seems to be leading inexorably to the homogenization of the world, with the United States as the model and the standard by which all other countries are to be judged.

- the cold war witnessed the emergence of authoritarian regimes in most African Countries in the form of one-party or military regimes.
- With the end of the cold war, support has been withdrawn by the major powers for many African countries considered no longer of strategic importance. This has entailed an increase in the number of so called “failed states” in Africa during the last two decades.

- In the political sphere, the most important consequence of globalization is the erosion of sovereignty, especially on economic and financial matters, as a result of the imposition of models, strategies and policies of development on African countries by the International Monetary Fund, the World Bank and the World Trade Organization.
- positive impact on Africa is that it has made available information on how other countries are governed and the freedoms and rights their people enjoy.
- It has also opened African countries to intense external scrutiny and exercised pressure for greater transparency, openness and accountability in Africa.

- because the economic specialization imposed on African countries makes rapid and sustainable growth and development impossible
- limits the ability of African governments to take proactive and conscious measures to facilitate the emergence of an indigenous entrepreneurial class.
- Economically, globalization reinforced the economic marginalization of African economies and their dependence on a few primary goods for which demand and prices are externally determined.
- a substantial brain- drain from Africa,
- Africans rapidly losing their cultural identity

- stultifying the indigenous development of technology and distorting patterns of production in Africa
- by utilizing capital as against labor intensive methods of production, which in turn increases unemployment and poverty.
- Overall therefore, the negative consequences of globalization on Africa far out way their positive impact.

4.4. Ethiopia in a Globalized World

- benefited from the technological and knowledge transfer, free movement of ideas, people and finance.
- negative impacts on Ethiopia.; affected the religiosity and social solidarity of its people. This is reflected in the rise of religious radicalism of every sort and posture.
- Socio-cultural impact of western values is amply observed in urban centres.
- the rise radical nationalism and ethnicity.
- The prevalence of human trafficking and migration
- Ethiopia has benefited less from globalization than its negative influences.

4.5. Pros and Cons of Globalization

- **Merits**

- ✓ expansion of democratic culture, human right and the protection of historically minority
- ✓ enabled the improvement of quality of life
- ✓ Strengthened international interdependence

demerits

- ✓ It is an aspect of Western imperialism of ideas and beliefs eroding and inroading the sovereignty of non-Western countries.

- globalization of risks, threats and vulnerabilities like global terrorism, religious fundamentalism,
- the rise of radical nationalism and ethnicity, which set the context for the emergence of the era of identity and identity conflicts.

4.6. Defining Regionalism and Regional Integration

- Region - limited number of states linked together by a geographical relationship and by a degree of mutual interdependence
- Regionalism consequently refers to intensifying political and/or economic processes of cooperation among states and other actors in particular geographic regions

4.6.1. The Old Regionalism

- regionalism, is predominantly a post-World War II phenomenon. It emerged in Western Europe in the late-1940s, subsequently spreading to the developing world.
- **4.6.2. New Regionalism**
- The prospects of the fall of the Berlin Wall together with the 1985 White Paper on the internal market and the Single European Act resulted in a new dynamic process of European integration

- The new regionalism referred to a number of new trends and developments, such as the spectacular increase in the number of regional trade agreements, an externally oriented and less protectionist type of regionalism, an anti-hegemonic type of regionalism

4.7. Major Theories of Regional Integrations

4.7.1. Functionalism

- viewed regionalism as a functional response by states to the problems that derived from regional interdependence.
- It was seen as the most effective means of solving common problems.
- the task of policy makers is to encourage the states to peacefully work together.
- Regional organization was then built up to cope with one common problem and spill over to other problems and areas of cooperation

4.7.2. Neo-functionalism

- emerged in the 1960s based on the key works of Ernst Haas and Leon Lindberg.
- defined integration as a process

Chapter Five:

Major Contemporary Global Issues

5.1. Survey of Major Contemporary Global Issues

- four major contemporary global issues

5.1.1. Global Security Issues

- there are two main issues and challenges facing the emerging new world order

A. Global Terrorism

- Terrorism is a global security problem characterized by the use of violence in the form of hostage taking, bombing, hijacking and other indiscriminate attacks on civilian targets.
- four different types of terrorist organizations namely: left wing terrorists, right wing terrorists, ethno-nationalists/separatist terrorists and religious terrorists

Factors Conducive to Terrorism:

- socio-economic cause (poverty in the sense of economic and political isolation, feelings of hopelessness, violations of human rights, and the lack of democracy)
- political cause (legitimate grievances and the failure of governments to adequately address these problems often foment terrorism).
- psychological cause (humiliation is another factor conducive to the use of terrorism).

Types of Terrorism

- Although the types of terrorism tend to overlap, they vary in their implications
- **Domestic terrorism:** occurs within the borders of a particular country and is associated with extremist groups.
- **Nationalist terrorism:** is closely associated with struggles for political autonomy and independence
- **Religious terrorism:** grows out of extreme fundamentalist religious groups
- **State terrorism:** is a cold, calculated, efficient, and extremely destructive form of terrorism
- **Global terrorism:** is partly an outgrowth of the forces of globalization, which enable the different kinds of terrorism to spread worldwide.

B. Nuclear Weapons and Their Proliferations

- ✓ that is, the spread of nuclear weapons themselves and the technology and knowledge required to build them.
- **Reasons for the Proliferation of Weapons**
 - ✓ Super-power Rivalry during the Cold War
 - ✓ Military Burden Sharing:
 - ✓ Regional Balance of Power:

- Political, Military, and Economic Influence:
- Economies of Scale:
- Economic Factors:
- Ethnic Conflicts:
- Authoritarian Regimes

5.1.2. Global Environmental Issues

- ✓ Climatic change and global warming

5.1.3. Global Socio-economic Issues

- ✓ *Global Inequality and Poverty*
- ✓ *Migration and refugee problems*

5.1.4. Global Cultural Issues

- *Cultural Imperialism*
- Cultural (civilizational) clash and identity conflicts